

DEFAULT DEADLINES — All are calendar days except the EMD (3 business days)

MILESTONE	DEFAULT TIMELINE	PARAGRAPH
EMD (Earnest Money Deposit) to Escrow ★ BUSINESS DAYS	3 business days after acceptance	Paragraph 3D(1)
Loan Contingency	17 days after acceptance	Paragraph L(1) / 8A
Appraisal Contingency	17 days after acceptance	Paragraph L(2) / 8B
Inspection / Investigation Contingency	17 days after acceptance	Paragraph L(3) / 8C
Insurance Contingency	17 days after acceptance	Paragraph L(4) / 8D
Review of Seller Documents	17 days after acceptance, or 5 days after delivery — written only (5)	Paragraph L(5)
Title / Preliminary Report Review	17 days after acceptance, or 5 days after delivery — written only (6)	Paragraph L(6)
Seller Deliver All Disclosures and Documents	7 days after acceptance	Paragraph N(1)
Sign and Return Escrow Instructions	5 days after delivery from escrow	Paragraph N(2)
HOA Documents Ordered by Seller	3 days after acceptance	Paragraph N(3)
Smoke / CO Detector / Water Heater Bracing	7 days after acceptance	Paragraph N(4)
Final Verification of Condition (Walkthrough)	5 days BEFORE Close of Escrow — NOT a contingency	Paragraph J / 16
Offer Expiration	3 calendar days after all buyer signatures at 5:00 PM	Paragraph 3C / 32A
Standard Close of Escrow	30 days after acceptance — negotiable	Paragraph 3B
Contingency Removal	Written only — use C.A.R. Form CR-B — verbal removal has no legal effect	Paragraph 14

KEY DOLLAR RULES

RULE	DETAILS
Liquidated damages cap	3% of the purchase price — applies to 1 to 4 unit owner-occupied properties only — Paragraph 29 must be included
Typical EMD range	1% to 3% of the purchase price — paid directly to escrow, never to the seller
Home warranty — seller maximum	\$625 — Paragraph Q(18) — buyer chooses the plan
Civil penalty for wrongful cancellation or refusal to sell	\$1,000 — Civil Code Section 1057.3
Prorations calculated on	30-day month — Paragraph 17

POSSESSION RULES

SITUATION	RULE / FORM
Default possession time	6 PM on the COE date — upon notice of recordation from escrow — Paragraph 3M
Seller leaseback — 29 days or fewer	Use C.A.R. Form SIP — Seller In Possession — Paragraph 3M(2)
Seller leaseback — 30 days or more	Use C.A.R. Form RLAS — creates a landlord-tenant relationship — Paragraph 3M(2)
Tenant-occupied property	Use C.A.R. Form TOPA — Tenant Occupied Property Addendum — Paragraph 4A

DISPUTE RESOLUTION

STEP	DETAILS
Step 1 — Mediation (required before legal action)	Parties must attempt mediation first — consumermediation.org or agreed provider — Paragraph 30

Step 2 — Arbitration (only if initialed)	Both parties must initial Paragraph 31E — by doing so, both waive their right to a jury trial
Notice to Buyer to Perform (NBP)	Minimum 2 days notice — required before seller can cancel for buyer breach
Notice to Seller to Perform (NSP)	Minimum 2 days notice — required before buyer can cancel for seller breach
Demand to Close Escrow (DCE)	Minimum 3 days notice — required before cancellation for failure to close

THE BIG 5 CONTINGENCIES — What They Protect and How to Remove Them

CONTINGENCY	PARAGRAPH	WHAT IT PROTECTS THE BUYER FROM	DEFAULT DEADLINE	HOW TO REMOVE
Loan (Financing)	L(1) / 8A	Losing the deposit if the loan is denied or falls through	15 calendar days after acceptance of offer	Sign and deliver CAR to lender or broker
Appraisal	L(2) / 8B	Being stuck buying the property if the home appraises below purchase price	17 calendar days after purchase price is set	Sign and deliver CAR to lender or broker
Inspection / Investigation	L(3) / 8C	Unforeseen property conditions discovered during the inspection	17 calendar days after inspection is complete	Sign and deliver CAR to lender or broker
Insurance	L(4) / 8D	Being unable to obtain homeowner's insurance	17 calendar days after closing	Sign and deliver CAR to lender or broker
Title Review	L(6) / 8F	Defects, liens, easements, or encumbrances on title	17 calendar days after title review is complete	Sign and deliver CAR to lender or broker

COST ALLOCATION DEFAULTS — Paragraph Q (Who Pays What by Default)

ITEM	WHO PAYS BY DEFAULT	PARAGRAPH
Natural Hazard Disclosure Report	Seller pays	Q(1)
Optional Wildfire Disclosure Report	Negotiated between parties	Q(2)
Escrow Fee	Each party pays their own escrow fees	Q(7)
Owner's Title Insurance Policy	Seller pays	Q(8)
Buyer's Lender Title Insurance Policy	Buyer pays	Q(9)
County Transfer Tax	Seller pays	Q(10)
City Transfer Tax	Seller pays	Q(11)
HOA Fee for Preparing Disclosures	Seller pays	Q(12)
HOA Certification Fee	Buyer pays	Q(13)
HOA Transfer Fees	Seller pays move-out fee / Buyer pays move-in fee	Q(14)
Home Warranty (if seller pays)	Seller pays up to \$625 maximum	Q(18)
Smoke / CO Detector Compliance	Negotiated between parties	Q(4)
Government Required Point of Sale Inspections	Negotiated between parties	Q(5)
Government Required Point of Sale Corrective Actions	Negotiated between parties	Q(6)

KEY C.A.R. FORMS — Know These by Name

FORM	FULL NAME AND PURPOSE
CR-B	Contingency Removal — Buyer — the ONLY way to remove contingencies — must be in writing
CR-S	Contingency Removal — Seller — used when seller removes a seller contingency
NBP	Notice to Buyer to Perform — minimum 2 days — required before seller can cancel
NSP	Notice to Seller to Perform — minimum 2 days — required before buyer can cancel
DCE	Demand to Close Escrow — minimum 3 days — required before cancellation for failure to close
CC	Cancellation of Contract — used to formally cancel — deposit release requires mutual signed instructions
RR	Request for Repair — buyer requests repairs after inspection — seller has no obligation to agree
RRRR	Seller Response to Repair Request — seller responds to the RR form
SIP	Seller In Possession — seller leaseback 29 days or fewer after close of escrow
RLAS	Residential Lease After Sale — seller leaseback 30 days or more — creates landlord-tenant relationship
TOPA	Tenant Occupied Property Addendum — used when property has tenants
AD	Agency Disclosure — must be given to your buyer before or when writing the offer
TDS	Transfer Disclosure Statement — required by law for all 1-4 unit residential sales — seller delivers
SPQ	Seller Property Questionnaire — detailed supplement to the TDS — seller delivers
AVID	Agent Visual Inspection Disclosure — required for every transaction — your own visual inspection
NHD	Natural Hazard Disclosure Statement — discloses hazard zones

FVAC	FHA/VA Amendatory Clause — required for all FHA and VA transactions
IDA	Increased Deposit Addendum — used when buyer adds a second deposit
ABA	Additional Broker Acknowledgement — used when more than one brokerage represents a party
BIA	Buyer Investigation Advisory — given to buyer, outlines all areas to investigate
WFA	Wire Fraud Advisory — given to buyer, warns about wire fraud scams

ALWAYS REMEMBER — The Rules That Come Up in Every Transaction

RULE	WHAT IT MEANS
EMD goes to escrow — never to the seller	The earnest money deposit is delivered directly to the escrow holder, not to the seller or listing agent
Remove contingencies in writing only	Use C.A.R. Form CR-B — verbal contingency removal has absolutely no legal effect in California
Days means calendar days	Every deadline in the RPA is calendar days — the ONLY exception is the EMD which is 3 business days
The buyer agent is NOT a party to the RPA	Brokers and agents facilitate the transaction — the parties are the buyer and seller — see Paragraph 1
Present all offers as soon as practicable	This is a CA DRE and NAR requirement — withholding or delaying an offer is a fiduciary violation
Dual agency requires written consent	Both the buyer AND seller must consent to dual agency in writing before or at the time of signing
AVID is required on every transaction	You must document your own visual inspection in writing on every residential transaction in California
Acceptance means signed AND delivered	An offer is not accepted until it is signed by the seller AND delivered back to the buyer or their agent
Verbal agreements mean nothing	Every modification, agreement, and change to the RPA must be in writing and signed by both parties
Liquidated damages require initials	The 3% cap only applies if both parties initial Paragraph 29 — it does not apply automatically
TDS cancellation right cannot be waived	If the TDS is delivered after the offer is signed, the buyer has 3 days (personal delivery) or 5 days (mail)
Removing contingencies at offer is against agent's advice	The RPA itself states this in Paragraph 8I — always document this conversation with your client in writing
All changes must be in writing	Neither the RPA nor any of its provisions can be changed except in writing signed by both parties — Paragraph 1